BUILDING A CLIMATE POSITIVE AND INCLUSIVE ENTERPRISE

Climate change has today emerged as an unprecedented existential crisis. Although heightened commitments were made by most countries at COP26, the unfortunate reality is that a 2-degree rise seems inevitable by the middle of the century, even if all current pledges are delivered. It is abundantly clear that radical and urgent measures need to be taken to avert the impending calamity.

The world will no doubt need a revolution of innovative solutions not only for 'hard to abate' sectors but also to rapidly progress action on 'possible to abate' areas. While doing so, it would be important that such climate action ensures a 'just transition' to a greener economy. To my mind, emerging countries will need greater access to green finance and appropriate green instruments to facilitate this transition, particularly to support climate vulnerable agri value-chains.

Perhaps the biggest threat today is the impact of climate change on food systems and livelihoods of poor farmers. According to a recent FAO report, several agri-commodities can be impacted by adverse weather conditions. It was reported that 70 percent of the winter wheat area in the United States, soyabean in Argentina, Brazil and Paraguay, sugar in Brazil and milk in El Salvador has faced output losses due to climate change. Closer home, the unprecedented heatwaves are likely to cause a 3% drop in wheat output. Building climate resilience of agriculture is critical since it addresses the major concern of food and livelihood security.

As overwhelming as the challenges are, it is your Company's unshakeable belief that businesses possess immense capability to make a transformational contribution. When corporates make sustainability the bedrock of their business strategy, it spurs innovation to deliver extreme competitiveness, sustainable and inclusive growth in a unified dimension. This philosophy of Responsible Capitalism has been our guiding beacon, manifest in our credo of 'Nation First: *Sab Saath Badhein*', leading to exemplary performance across the triple bottom line. **It is your Company's firm resolve to scale newer heights in creating a Climate Positive and Inclusive Enterprise that can contribute meaningfully towards the transition to a net-zero economy.**

> "It is ITC's firm resolve to scale newer heights in creating a Climate Positive and Inclusive Enterprise that can contribute meaningfully towards the transition to a net-zero economy."

Given the enormity of the challenges that confronts us today, your Company has now articulated an even more ambitious Sustainability 2.0 vision that will further strengthen your Company's multi-dimensional efforts to combat climate change, enable water stewardship, scale up nature-based solutions, create an effective circular economy and enhance sustainable livelihoods.

To empower rural communities and transform the agri sector, your Company has implemented a mosaic of initiatives based on a 2-horizon approach. The first horizon aims at securing and strengthening the dominant sources of livelihood, while the second focuses on building capabilities for the future in areas such as primary education, vocational training, women empowerment, healthcare and so on. Over the years, women are playing a larger role in ITC's Social Investments Programme and form the core of village grassroots institutions. Your Company's women empowerment initiative catalyses a range of gainful opportunities including high-impact programmes such as financial literacy mobilising over 13 lakh women.

Decarbonisation and Green Infrastructure

Pursuing a proactive strategy of decarbonisation, your Company is increasing its renewable energy footprint, enhancing green infrastructure, scaling up carbon sequestration and ensuring best-in-class standards in specific energy consumption. Today, around 42% of ITC's total energy requirements is met from renewable sources despite a growing footprint of operations. ITC's Sustainability 2.0 goals aim at achieving 50% of total energy consumption and 100% of electricity requirements from renewable sources by 2030.

Your Company is at the forefront of the Green Infrastructure movement with as many as 39 buildings receiving Platinum certification by USGBC or IGBC. These include luxury hotels, factories, office and residential complexes as well as a data centre.

ITC's Afforestation initiative contributes to your Company sequestering over 2 times the emissions from its operations. Your Company is also scaling up its Biodiversity programme, which today covers over 1.3 lakh acres across 29 districts and will be progressively expanded to over 10 lakh acres by 2030.

Climate Smart Villages

Leveraging your Company's extensive experience in promoting sustainable agriculture, we are now scaling up the Climate Smart Villages (CSV) programme in collaboration with CGAIR to build climate resilience and adaptation. A suite of interventions has been launched across 2500 villages in 11 States. The first pilot at scale in Madhya Pradesh has demonstrated encouraging results with yields going up by 15% to 38%, net incomes by 46% to 93% and GHG emissions reducing by 13% to 66%. This has encouraged us to extend the programme to 30 lakh acres by 2030.

Water Stewardship

ITC's integrated watershed development programme today covers over 13 lakh acres, creating rainwater harvesting potential that is nearly 4 times the net water consumed by our operations. The 'More Crop per Drop' programme for demand side efficiency continues to be scaled up, achieving upto 40% water savings across 14 crops. ITC has also undertaken a large-scale river basin regeneration project on the Ghod river in Maharashtra. In a span of 5 years, the Ghod Basin turned water positive, encouraging us to extend such work to 3 other river basins. Your Company was awarded the first AWS Platinum certification in India for its Paperboards unit at Kovai, and is now working towards certifying all units in high water stress areas. It will also be our endeavour to scale up rainwater harvesting potential equivalent to over 5 times the net water consumption by 2030.

IN CONCLUSION

The ITC Next Strategy lends new wings to your Company to achieve higher levels of competitiveness in a volatile economic environment. As we scale greater heights in the future, I draw immense strength from the energy, passion and dedication of Team ITC. Your Company is also privileged to receive the unwavering support from all our valued stakeholders including our consumers and customers, farmers, local communities, partners and many others. On behalf of the Board, and my own, I would like to convey our deepest appreciation to all of them.

As I end, I would like to sincerely thank our valued shareholders and reiterate that I will look forward to your continued support and encouragement.